



HEMI

\$HEMI · Institutional Research Report

A modular Layer-2 "supernetwork" unifying Bitcoin's security with Ethereum's programmability to unlock trust-minimized Bitcoin DeFi — evaluated across technology, tokenomics, funding, market performance, ecosystem traction, and forward-looking risk.

TICKER	SECTOR	CHAIN	REPORT DATE
HEMI	Bitcoin/Ethereum Layer-2 Supernetwork	Hemi L2 (Bitcoin + Ethereum secured)	August 2026



SECTION 01

Project Overview

Hemi (HEMI) is a modular Layer-2 blockchain network built to treat Bitcoin and Ethereum not as separate, siloed ecosystems but as components of a single "supernetwork." Rather than bridging the two chains through a wrapped-asset intermediary, Hemi embeds a full Bitcoin node directly inside an Ethereum-compatible virtual machine, aiming to let developers build applications that natively access both Bitcoin's data and Ethereum's programmability at once — unlocking what the industry broadly calls "Bitcoin DeFi" or BTCFi.

Hemi was co-founded by Jeff Garzik, an early Bitcoin Core developer, and Max Sanchez, the inventor of the Proof-of-Proof consensus protocol underpinning Hemi's security model. The project launched publicly at the Bitcoin 2024 conference in Nashville, ran an incentivized testnet for roughly six months, and brought its mainnet live on March 12, 2025 with over fifty protocols — including Sushi and DODO — deployed at launch. The HEMI token became tradeable on centralized exchanges including Binance on September 23, 2025.

\$0.0102 PRICE (SNAPSHOT)	\$10.51M MARKET CAP	\$107.53M FULLY DILUTED VALUATION	#915 MARKET RANK	+35.5% 24H MOVE (BINANCE)
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Snapshot

Metric	Value
Token Ticker	HEMI
Category	Bitcoin/Ethereum Layer-2 Supernetwork / BTCFi
Circulating Supply	977.50M HEMI
Total Supply	10.00B HEMI
Max Supply	Not fixed / disclosed as "--" at time of report
24h Trading Volume	\$87.59M
All-Time High	\$0.1925
All-Time Low	\$0.004149
Public Mainnet Launch	March 12, 2025
Website	hemi.xyz
Whitepaper / Docs	docs.hemi.xyz

HEMI is trading roughly 95% below its all-time high but nearly 2.5x its all-time low, with this report's snapshot capturing a sharp, broad-based single-day rally (+34–36% across nearly every major exchange) — a scale of move that, as with other small-cap tokens in this coverage series, likely reflects a specific catalyst rather than routine volatility (see Section 7).

SECTION 02

Problem & Solution

The Problem

Bitcoin secures over \$2 trillion in value but remains largely inert as a programmable asset — its base layer cannot natively support smart contracts, forcing developers wanting to build Bitcoin-backed DeFi to rely on custodial wrapped-BTC solutions or isolated sidechains with materially weaker security assumptions than Bitcoin itself. Ethereum, meanwhile, offers rich programmability but lacks Bitcoin's unmatched settlement security, and most cross-chain bridges connecting the two introduce centralization or custodial risk at exactly the point where trust minimization matters most.

The Solution

- **Hemi Virtual Machine (hVM)** — embeds a complete, synced Bitcoin node directly within an Ethereum Virtual Machine, letting smart contracts natively read Bitcoin transaction and account data without relying on external oracles or wrapped-asset intermediaries.
- **Hemi Bitcoin Kit (hBK)** — a developer toolkit built on top of the hVM giving builders familiar EVM tooling while retaining direct access to Bitcoin-native functionality.
- **Proof-of-Proof (PoP) consensus** — anchors Hemi's own state directly to Bitcoin's blockchain, aiming to inherit transaction security comparable to Bitcoin itself rather than depending on a separate, potentially less battle-tested validator set.
- **Trust-minimized Tunnels** — Hemi's cross-chain asset movement mechanism, designed to avoid the custodial risk associated with traditional wrapped-asset bridges.
- **veHEMI staking** — users lock HEMI for periods from 12 days to 4 years in exchange for a non-fungible token representing weighted governance and fee-sharing rights, with longer lockups receiving greater weight to align incentives with long-term protocol health.

■ SECTION 03

Technology & Architecture

Hemi's core technical innovation is embedding a full Bitcoin node inside an EVM-compatible environment (the hVM), which allows Hemi smart contracts ("hApps") to natively query and act on real Bitcoin chain-state — balances, transactions, UTXOs — without going through a wrapped-asset proxy or trusted oracle. This is architecturally distinct from most Bitcoin L2 designs, which typically treat Bitcoin data as an external input rather than a first-class citizen inside the execution environment itself.

Security is anchored through Proof-of-Proof (PoP) consensus, which periodically commits Hemi's state to the Bitcoin blockchain, aiming to inherit Bitcoin's settlement security rather than relying purely on Hemi's own validator set. Asset movement between chains runs through "Tunnels," positioned as a trust-minimized alternative to conventional custodial bridges. Together, these components are intended to let developers build Bitcoin-backed lending, staking, and trading applications with materially stronger security guarantees than wrapped-BTC-based DeFi elsewhere in the industry.

Core Components

Component	Function
Hemi Virtual Machine (hVM)	Embeds a full Bitcoin node within an EVM, giving contracts native access to Bitcoin data
Hemi Bitcoin Kit (hBK)	Developer toolkit for building Bitcoin-aware applications (hApps) using familiar EVM tooling
Proof-of-Proof (PoP)	Consensus mechanism anchoring Hemi's state to Bitcoin for inherited settlement security

Component	Function
Tunnels	Trust-minimized cross-chain asset movement, avoiding custodial wrapped-asset bridge risk
veHEMI	Vote-escrowed staking (12 days–4 years) granting governance weight and protocol fee share

veHEMI stakers earn a share of protocol fees distributed in both HEMI and hemiBTC (a Bitcoin-backed asset native to the network), with future roadmap phases planning a vote market for directing incentives and a dual-staking system incorporating hemiBTC directly — details worth tracking as the protocol's fee-generation and value-accrual mechanisms mature beyond the current governance-only phase.

■ SECTION 04

Tokenomics & Allocation

HEMI's total supply stands at 10,000,000,000 tokens; notably, this report's source data listed max supply as undisclosed ("--") rather than a fixed hard cap, which investors should verify directly against official Hemi channels given its implications for long-term dilution. As of this report's data pull, circulating supply stood at 977.50M HEMI (roughly 9.8% of total supply), with a substantial gap between market cap (\$10.51M) and fully diluted valuation (\$107.53M) — roughly 10.2x — reflecting a very large majority of total supply still to enter circulation over time.

Allocation Breakdown

Allocation Category	% of Supply
Protocol Emissions	32.97%
Community & Ecosystem	21.44%
Investors & Strategic Partners	18.76%
Team & Core Contributors	16.75%
Foundation	10.05%

HEMI's allocation is dominated by Protocol Emissions (33%) — ongoing token issuance intended to fund network incentives over time rather than a one-time distribution — combined with meaningful Team (16.75%) and Investor (18.76%) allocations totaling roughly 35.5% combined. This emissions-heavy structure means HEMI's long-term supply dynamics depend significantly on the pace and design of ongoing protocol emissions, which is a materially different dilution profile than fixed-allocation tokens elsewhere in this coverage series and warrants direct verification of the emissions schedule against docs.hemi.xyz.

■ SECTION 05

Funding & Investors

Hemi has raised approximately \$30M in disclosed funding, including an initial \$15M round to develop and launch the network, led by a broad syndicate spanning YZi Labs (formerly Binance Labs), Republic, Big Brain Holdings, HyperChain Capital, and Breyer Capital — the venture firm founded by Jim Breyer, an early Facebook investor, whose partner Ted Breyer publicly praised Hemi's "clear and compelling vision" for Web3 infrastructure at the time of the round.

Investor Tiers

Tier	Notable Backers	Type
Tier 1	YZi Labs (Lead, formerly Binance Labs)	Incubator
Tier 2	Republic (Lead)	Venture
Tier 3	Big Brain Holdings (Lead), HyperChain Capital (Lead), SNZ Holding, Selini Capital, Cypher Capital, Crypto.com Capital, Gate Ventures, TRGC, Web3.com Ventures	Venture / Exchange
Tier 4	Breyer Capital (Lead), The SALT Fund	Venture

The presence of four separate "Lead" designations (YZi Labs, Republic, Big Brain Holdings/HyperChain Capital, Breyer Capital) across tiers suggests multiple financing rounds rather than a single event, and the involvement of both a Binance-affiliated incubator and multiple exchange-linked venture arms (Crypto.com Capital, Gate Ventures) mirrors patterns seen elsewhere in this coverage series where exchange-affiliated capital tends to correlate with subsequent listing access.

■ SECTION 06

Team

Hemi's leadership team is fully named and publicly disclosed, anchored by co-founder and CEO Jeff Garzik, one of the earliest and most recognized Bitcoin Core developers, alongside co-founder Max Sanchez, credited as the inventor of the Proof-of-Proof consensus protocol underpinning Hemi's security model. This combination of a historically significant Bitcoin developer and the inventor of the project's core cryptographic innovation is a distinctive credibility signal relative to most projects in this coverage series.

Name	Role
Jeff Garzik	Co-Founder, CEO & Principal Engineer
Maxwell Sanchez	Co-Founder & Lead Architect
John Vernaleo	Lead Engineer
Nahuel del Valle	UI/UX Lead

The core team maintains active public presences across Twitter/X, LinkedIn, Medium, and GitHub — a high transparency standard that includes visible open-source contribution history, allowing outside observers to independently verify technical claims against actual code activity rather than relying solely on marketing materials.

■ SECTION 07

Market Performance & Liquidity

HEMI's 24-hour trading range at the time of this report spanned \$0.007393 to \$0.01076, with the token up sharply (+34–36%) across nearly every major exchange in the same session — a broad, uniform rally consistent with a specific market-wide catalyst. HEMI currently trades roughly 95% below its all-time high of \$0.1925 (reached shortly after its September 2025 exchange listings) but nearly 2.5 times above its all-time low of \$0.004149, suggesting the token found a bottom before this report's featured rally.

Exchange Liquidity (24h volume by venue)

Exchange	Pair	24h Volume	Price	24h %
Binance	HEMI/USDT	\$19.40M	\$0.01024	+35.5%
Binance TR	HEMI/TRY	\$18.59M	\$0.0102	+35.8%
PancakeSwap	HEMI/USDT	\$6.21M	\$0.0102	N/A
Lbank	HEMI/USDT	\$4.41M	\$0.01021	N/A
Bittrue	HEMI/USDT	\$1.61M	\$0.0104	+35.1%
Binance	HEMI/USDC	\$1.29M	\$0.01016	+34.7%
Phemex	HEMI/USDT	\$846.96K	\$0.01025	+35.2%
Gate	HEMI/USDT	\$809.77K	\$0.01025	+36.3%
MEXC	HEMI/USDT	\$576.55K	\$0.01024	+35.7%

Binance venues (main spot plus Binance TR) together represent roughly 43% of total reported 24h volume, reflecting Binance's central role in HEMI's distribution since its September 2025 listing. PancakeSwap's substantial DEX volume (\$6.21M) also indicates meaningful decentralized liquidity alongside centralized exchange activity, a healthier balance than tokens relying almost entirely on one venue type.

■ SECTION 08

Ecosystem & Competitive Landscape

Ecosystem Traction

- Over fifty protocols deployed on Hemi at mainnet launch, including established DeFi names Sushi and DODO, giving the network immediate liquidity and application depth rather than launching as an empty chain.
- Hemi's DeFi ecosystem has placed particular focus on liquid staking tokens (LSTs) and liquid restaking tokens (LRTs) from both the Bitcoin and Ethereum ecosystems, positioning the network as a yield-bearing hub for previously idle Bitcoin-adjacent capital.
- A Binance HODLer Airdrop program distribution served as a major exposure and liquidity milestone, expanding HEMI's reach to Binance's substantial existing user base ahead of broader market adoption.
- The project's production deployment roadmap targets continued build-out through 2027, suggesting a long-term development horizon rather than a rushed, short-cycle launch.

Competitive Landscape

Hemi competes directly in the increasingly crowded Bitcoin Layer-2 category alongside other projects in this coverage series pursuing similar theses, including Bsquared Network (B2), as well as Merlin Chain, BEVM, Rootstock, and Core DAO more broadly. Hemi's specific differentiation — embedding a full Bitcoin node inside the EVM itself (the hVM) rather than treating Bitcoin data as an external input — is a technically more ambitious architecture than many competitors, but also a more complex one to execute and secure. As with B2 and other Bitcoin L2s in this series, no single project has yet established durable category dominance, and Hemi's team pedigree (Garzik, Sanchez) is a notable differentiator on credibility even where market share remains contested.

■ SECTION 09

Roadmap & Outlook

Hemi's publicly disclosed timeline shows a staged progression: public introduction at Bitcoin 2024, a roughly six-month incentivized testnet, mainnet launch in March 2025 with over fifty protocols pre-deployed, and centralized exchange listings beginning in September 2025. The team's stated roadmap targets full production deployment by 2027, alongside planned expansions to veHEMI's vote market and dual-staking system incorporating hemiBTC directly.

- Watch for clarification of HEMI's max supply, given this report's source data showed it as undisclosed ("--") rather than a fixed cap — a detail with direct bearing on long-term dilution that should be confirmed against official channels.
- Watch for the pace and structure of Protocol Emissions (33% of allocation), since this is the single largest supply category and its release schedule will materially shape HEMI's medium-term price dynamics.
- Watch for veHEMI vote market and hemiBTC dual-staking rollout, which would meaningfully expand HEMI's utility beyond its current governance-and-fee-sharing function.
- Watch for continued ecosystem growth in LST/LRT-focused DeFi activity, the network's stated core strength, as the clearest read on sustained developer and capital interest.

■ SECTION 10

Bullish Case, Bearish Case & Risk Factors

▲ BULLISH CASE	▼ BEARISH CASE
+ Exceptionally credible founding team — Jeff Garzik (early Bitcoin Core developer) and Max Sanchez (Proof-of-Proof inventor) — with full public transparency across professional and technical channels. + Technically ambitious, differentiated architecture (hVM embedding a full Bitcoin node inside an EVM) that goes further than many competing Bitcoin L2 designs in native cross-chain data access. + Strong day-one ecosystem depth with over fifty protocols (including Sushi, DODO) deployed at mainnet launch, rather than launching as an empty chain seeking adoption. + Broad, credible investor syndicate spanning a Binance-affiliated incubator, multiple exchange venture arms, and established venture firms like Breyer Capital. + Healthy liquidity balance between centralized exchanges (Binance) and decentralized venues (PancakeSwap), reducing single-venue dependency risk.	– Max supply was listed as undisclosed in this report's source data rather than a fixed cap — a meaningful transparency gap that should be resolved before treating long-term dilution as bounded. – Very large FDV-to-market-cap gap (~10.2x) driven by a large Protocol Emissions allocation (33%) whose release pace could create sustained sell pressure over time. – Token trades roughly 95% below its all-time high, a severe drawdown even accounting for this report's featured rally. – Intensely crowded Bitcoin L2 competitive category, including at least one other project (Bsquared Network) covered elsewhere in this series pursuing an overlapping thesis. – hVM's technical ambition (embedding a full Bitcoin node inside an EVM) is architecturally more complex than simpler Bitcoin L2 designs, potentially raising execution and security-audit surface area.

Key Risk Factors

Risk Factor	Severity	Description
Undisclosed Max Supply	High	Source data showed max supply as "--" rather than a fixed cap; long-term dilution bound should be confirmed directly.

Risk Factor	Severity	Description
Emissions-Driven Overhang	High	33% Protocol Emissions allocation is the largest single category and its release pace materially affects future supply.
Post-ATH Drawdown	Medium	HEMI trades roughly 95% below its all-time high despite continued ecosystem development.
Competitive Crowding	Medium	Bitcoin L2 category includes multiple credible competitors, including other projects in this coverage series.
Architectural Complexity	Medium	Embedding a full Bitcoin node inside an EVM (hVM) is technically ambitious and carries proportionally higher execution/security complexity.
Rally Sustainability	Medium	The featured 34-36% single-day rally's underlying catalyst was not independently confirmed in available sources.
Macro / Crypto Beta	Medium	As a sub-\$50M market cap altcoin, HEMI remains highly correlated with broader crypto market cycles.

■ SECTION 11

Investment Potential and Risks

Hemi presents one of the more technically credible teams in this coverage series — a genuine early Bitcoin Core developer alongside the inventor of the project's core consensus innovation — backed by a broad, legitimate investor syndicate and a mainnet that launched with substantial day-one ecosystem depth rather than an empty chain. Its hVM architecture represents a genuinely ambitious approach to Bitcoin/Ethereum interoperability that goes further than many competitors in native cross-chain data access.

Against that, the tokenomics picture carries real uncertainty: max supply was not clearly disclosed in this report's source data, and the large Protocol Emissions allocation (33% of total supply) means HEMI's long-term dilution profile depends heavily on emissions design details that require direct verification. The ~95% drawdown from all-time highs and intensely crowded Bitcoin L2 competitive landscape — including another project in this same coverage series — mean execution and differentiation will matter as much as technical ambition going forward.

NBZ RESEARCH VERDICT

Rating: SPECULATIVE / HIGH RISK — Verify Tokenomics Before Sizing

Hemi combines an unusually strong technical and team credibility profile with genuine architectural ambition, but carries real tokenomics uncertainty — particularly around max supply disclosure and the emissions-heavy allocation structure — that prospective holders should resolve directly with the team before forming a supply-side view. The featured rally in this report's data is notable but, as with similar moves elsewhere in this coverage series, should be verified against its underlying catalyst rather than taken as a standalone signal. NBZ Research views HEMI as a team-and-technology-credible but tokenomics-uncertain asset, best suited to investors who specifically want exposure to the Bitcoin L2 thesis and are prepared to independently confirm supply mechanics before sizing a position.

This report reflects publicly available information as of the stated date and is not financial advice. DYOR. Token unlock schedules and roadmaps are subject to change — verify against docs.hemi.xyz and hemi.xyz.



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